Numair v Naufil [2024] DIFC SCT 391

NOVEMBER 20, 2024 SCT - JUDGMENTS AND ORDERS

Claim No. SCT 391/2024

THE DUBAI INTERNATIONAL FINANCIAL CENTRE COURTS

In the name of His Highness Sheikh Mohammed Bin Rashid Al Maktoum,

Ruler of Dubai

IN THE SMALL CLAIMS LEASING TRIBUNAL OF DIFC COURTS

BEFORE H.E. JUSTICE MAHA AL MHEIRI

BETWEEN

NUMAIR

Claimant

and

NAUFIL

Defendant

Hearing :	**29 October 2024**
Judgment :	**20 November 2024**

JUDGMENT OF H.E. JUSTICE MAHA AL MHEIRI

UPON the Claim Form being filed on 3 September 2024 (the "Claim")

AND UPON a hearing held before H.E. Justice Maha Al Mheiri on 29 October 2024, with the Claimant's representative and the Defendant attending (the "Hearing")

AND UPON reading the submissions and evidence filed and recorded on the Court file

IT IS HEREBY ORDERED THAT:

1. The Claimant shall refund the remainder of the rent to the Defendant in the amount of AED 73,785.01 (the "Judgment Amount").

2. The Defendant shall vacate the Premises on 19 November 2024.

3. For every day the Defendant fails to vacate the Premises, the Claimant shall deduct a daily rate of AED 557.53 from the Judgment Amount.

Issued by:

Delvin Sumo
SCT Judge and Assistant Registrar
Date: 20 November 2024
At: 2pm

THE REASONS

The Parties

1. The Claimant is Numair (the "Claimant"), the owner of Unit in DIFC (the "Premises")

2. The Defendant is Naufil (the "Defendant"), the tenant leasing the Premises.

Background and the Preceding History

3. The underlying dispute arises over a tenancy contract dated 20 January 2022 (the "Lease Agreement"). As per the Lease Agreement, the period of tenancy is set out to be for one year from 1 February 2022 to 31 March 2023. The Lease Agreement provides that the rent for the Premises is AED 185,000 per year.

4. On 2 November 2022, the Claimant provided the Defendant with email notice to vacate the Premises by 31 March 2023. By way of email dated 29 March 2023, the Defendant refused to vacate the Premises and requested that he be provided 12 months' notice pursuant to Clause 7 of the Addendum to the Lease Agreement.

5. On 3 October 2023, the Claimant served a letter of demand ("Letter of Demand") on the Defendant via registered mail requiring the following:

(a) The Defendant shall vacate the Premises within 12 months pursuant to clause 7 of the Addendum to the Lease Agreement;

(b) an increase in rent in respect of the lease term commencing on 1 April 2024 (the "2024 Lease Term") to AED 203,500 per year, pursuant to clause 2.16 of the Lease Agreement; and

(c) The rent in respect of the 2024 Lease Term shall be completed on 1 April 2024 by way of a single bank transfer, pursuant to clause 10 of the Addendum to the Lease Agreement.

6. On 21 February 2024, the Claimant wrote to the Defendant confirming that rent in respect of 2024 Lease Term amounted to AED 103,143.83, on the basis that the Defendant is required to vacate the Premises on 3 October 2024.

7. The Defendant failed to make payment for the 2024 Lease Term on 1 April 2024, as required pursuant to the Letter of Demand and the Lease Agreement. On 17 July 2024, the Defendant transferred AED 203,500 to the Claimant's bank account. The Defendant paid additional rent to cover the lease until April 2025.

8. The Claimant reminded the Defendant to vacate the Premises with the expiry of the Lease Agreement. The Defendant tried to negotiate a new agreement, but the parties failed. There were numerous communications between the parties in relation to the purchase of the Premises however the parties did not come to an agreement.

9. On 4 July 2023, the Claimant filed a claim in the DIFC Courts' Small Claims Leasing Tribunal (the "SCLT") seeking the following

(a) Immediate termination of the Lease Agreement and repossession of the Premises;

(b) Daily rent from 4 October 2024 until the date of evacuation in the amount of AED 557.53, being the daily rental value under the Lease Agreement;

(c) Interest pursuant to Article 118 of DIFC Law No. 6 of 2004 or Articles 17, 18 and/or 32 of DIFC Law No. 7 of 2005, with additional interest on the judgment at the rate prescribed in Practice Direction no.4 of 2017.

10. The matter was listed for a Consultation before SCT Judge Maitha Al Shehhi on 14 October 2024, however, the parties failed to reach a settlement.

11. Thereafter, the matter was listed for a hearing before me on 29 October 2024, with the Claimant's representative and Defendant in attendance .

Discussion

12. The relationship between the parties is governed by the Lease Agreement along with the DIFC Leasing Law No. 1 of 2020 (the "DIFC Leasing Law"). As the Premises is located within the DIFC jurisdiction, the Lease Agreement shall be governed and constructed in accordance with the laws of the DIFC, and the Lessor and Lessees shall submit to the exclusive jurisdiction of the Small Claims Leasing Tribunal if there is any dispute that arises in connection with the Premises.

13. The Lease Agreement is defined with a start and end date which both parties are aware of and agreed upon, therefore, the Lease Agreement expired on 3 October 2024. It is the Defendant's right to occupy the Premises until this date, provided that they do not miss or delay any of the payments of the rent due to the Premises as per the Lease Agreement.

14. The Defendant failed to establish any legal basis or right to renew the Lease Agreement or negotiate a new Lease amount for the Premises. Pursuant to the terms of the Lease Agreement, the Defendant is required to vacate the Premises with the end of the Lease Agreement.

15. Although the Defendant wanted to renew the Lease Agreement, unfortunately they did not reach a mutual understanding as such the Lease Agreement expired at the end of the Lease period (i.e. 3 October 2024).

16. The Claimant has sought to claim for the overstay period however to the date of this judgment the Defendant is still occupying the Premises, therefore I shall order the Defendants to pay rent until the 19 November 2024, for the Defendant to have time to find alternative living arrangements and for him to satisfy the required conditions to vacate the Premises.

17. The Defendant is ordered to vacate the Premises on 19 November 2024, as understood and agreed in the Hearing. Since the Defendant has already paid “additional” rent up until April 2025 (which is to be understood as 31 March 2025), the Defendant is owed a refund due to vacating the Premises early

18. The 2024 rental period amount was 103,143.83 AED, which the Defendant has paid. This rental period expired on 3 October 2024. The Defendant also paid an additional 203,500 AED to cover the 2025 rental period, which is set to expire on 31 March 2025 (“April 2025”). As the Defendant is ordered to vacate on the 19 November 2024, the period between 20 November 2024 and 31 March 2025 shall be refunded, and this amount is calculated at the 2025 rental period daily rate of 557.53 as the 2024 period has already expired.

19. The Defendant will have lived at the Premises for 47 days into the 2025 rental period by 19 November 2024. The rent for 47 days is 26,203.91 (557.53 x 47). The 2024 rent and the additional 47 days amounts to 129,347.74 AED. Taking this amount from the 2025 rent leaves a remainder of 74,152.26 AED.

20. The Defendant is also ordered to pay the Claimant’s court filing fee of 367.25 AED. Therefore, the total refund owed to the Defendant is 73,785.01 AED.

21. The Defendant shall therefore provide the Claimant with his bank details to receive the refund amount of 73,785.01.

Conclusion

22. The Claimant shall refund the Defendant the amount of 73,785.01 AED, which absorbs the cost of the court filing fee (the “Judgment Amount”).

23. The Defendant shall vacate the Premises on 19 November 2024.

24. For every day the Defendant fails to vacate the Premises, the Claimant shall deduct a daily rate of AED 557.53 from the Judgment Amount.